Absorbing Transition DID Results: AKM Restatement Good — Upgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		-0.058***		-0.042***		-0.031***
		(0.010)		(0.006)		(0.009)
× Voluntary Rotation		-0.036***		-0.037***		-0.010**
		(0.005)		(0.003)		(0.005)
Pooled	-0.038***		-0.037***		-0.012***	
	(0.005)		(0.003)		(0.004)	
Mandatory − Voluntary		-0.022**		-0.005		-0.021**
Difference p-value		0.030		0.368		0.030
Observations	51,159	44,808	51,159	44,808	51,159	44,808
Firms	5,380	5,200	5,380	5,200	5,380	5,200
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		-0.056***		-0.052***		-0.024**
		(0.011)		(0.011)		(0.010)
× Voluntary Rotation		-0.044***		-0.043***		-0.014**
		(0.008)		(0.004)		(0.007)
Pooled	-0.045***		-0.045***		-0.015**	
	(0.007)		(0.004)		(0.006)	
Mandatory − Voluntary		-0.012		-0.009		-0.010
Difference p-value		0.330		0.388		0.359
Observations	34,646	31,793	34,646	31,793	34,646	31,793
Firms	3,567	3,527	3,567	3,527	3,567	3,527
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		-0.050***		-0.035***		-0.028***
		(0.010)		(0.005)		(0.009)
× Voluntary Rotation		-0.024***		-0.029***		-0.004
		(0.005)		(0.002)		(0.004)
Pooled	-0.027***		-0.031***		-0.006	
	(0.004)		(0.002)		(0.004)	
Mandatory − Voluntary		-0.026**		-0.006		-0.025**
Difference p-value		0.012		0.267		0.012
Observations	50,948	44,504	50,948	44,504	50,948	44,504
Firms	5,521	5,340	5,521	5,340	5,521	5,340
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		-0.049***		-0.036***		-0.026***
		(0.009)		(0.005)		(0.008)
× Voluntary Rotation		-0.024***		-0.029***		-0.003
		(0.005)		(0.002)		(0.004)
Pooled	-0.026***		-0.031***		-0.005	
	(0.004)		(0.002)		(0.003)	
Mandatory − Voluntary		-0.025***		-0.007		-0.023**
Difference p-value		0.008		0.177		0.011
Observations	52,841	46,302	52,841	46,302	52,841	46,302
Firms	5,521	5,353	5,521	5,353	5,521	5,353
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.